

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,
Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.

Respondents & Third-Party Complainants

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,
Third-Party Respondent.

**COMPLAINANT’S RESPONSE TO RESPONDENTS’
MOTION TO STAY PROCEEDINGS**

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned attorneys, respectfully submits its response to the Motion to Stay Proceedings submitted by Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”).

INTRODUCTION

More than a year ago, on March 26, 2024, Complainant submitted its Verified Complaint (Document 01 in FMC Docket 24-17) against OOCL asserting that Respondents, as ocean common carriers subject to the Commission’s jurisdiction, had engaged in a pattern of conduct

violating the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.* (the “Shipping Act”), and seeking reparations for detention and demurrage charges unlawfully extorted from SEA.

Respondents’ initial response was a Motion to Dismiss the Complaint (Doc. 10) filed on May 13, 2024. That motion was largely denied, except for the granting of limited relief, on November 18, 2024 (Doc. 16). Pursuant to this tribunal’s November 18, 2024 ruling, SEA filed its Amended Complaint on December 2, 2024.

On December 12, 2024, Respondents filed their Answer to the Amended Complaint, but included a counterclaim against SEA, alleging that SEA’s bringing of its complaint about OOCL’s demurrage and detention charges to the Commission for a determination of their unlawfulness, somehow violated 46 U.S.C. § 41102(a). OOCL concurrently filed a nearly identical third-party complaint against Samsung Electronics Co., Ltd. (“SEC”).

SEA moved to dismiss OOCL’s Counterclaim on January 6, 2025 (Doc. 24). The Presiding Officer dismissed Respondents’ counterclaim with prejudice on March 31, 2025 (Doc. 38), finding that a facially valid complaint to recover alleged overcharges cannot establish fraudulent conduct or the obtaining of transportation at less than applicable rates as a matter of law. OOCL has now filed their Exception to that Order (Doc. 41) and moved to stay the proceedings during the pendency of its appeal on its counterclaim.

For the reasons set forth below, a stay of the proceedings until OOCL’s appeal of the dismissal of its counterclaim has been resolved is not well-supported or necessary, and further, it would unreasonably delay the proceedings, resulting in significant prejudice to SEA and undermining the intent behind the Commission’s rules. However, SEA would not oppose a stay of the proceedings until Third-Party Respondent SEC’s status is decided by the Presiding Officer.

LEGAL STANDARD

SEA concurs that the Presiding Officer has the power to rule on a request to stay a proceeding; however, the party seeking a stay has the burden to demonstrate the need for the stay. *Greatway Logistics Group, LLC v. Ocean Network Express Pte. Ltd.*, Dkt. No. 21-04, 2021 WL 3090768, at *2-*4 (ALJ, July 16, 2021); *see also Landis v. N. Am. Co.*, 299 U.S. 248, 254-255 (1936) (“the power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants. How this can best be done calls for the exercise of judgment, which must weigh competing interests and maintain an even balance”).

The party seeking the stay must first “make out a clear case of hardship or inequity in being required to go forward, if there is even a fair possibility that the stay for which he prays will work damage to someone else.” *Exclusive Tug Arrangements in Port Canaveral, Florida*, Dkt. No. 02-03, 2002 WL 31556298, at *2 (FMC, Nov. 15, 2002) (citing 46 C.F.R. § 502.201(f) and quoting *Landis*, 299 U.S. at 254-255); *VerTerra Ltd. v. D.b. Group Am. Ltd. and D.b. Group India Ltd.*, Dkt. No. 19-09, 2020 WL 1150930, at *4-*5 (ALJ, Mar. 5, 2020).

ARGUMENT

I. OOCL Provides No Basis for Staying the Case Until the Resolution of Its Appeal

SEA opposes OOCL’s proposed indefinite stay of the proceedings until the appeal of the dismissal with prejudice of its counterclaim is resolved. OOCL’s stay request should be denied because: (A) OOCL’s counterclaim is frivolous, as is the appeal of its dismissal; (B) a stay would unreasonably delay the proceedings and prejudice SEA; (C) even if the counterclaim were not frivolous, the discovery schedule would not be impacted one way or another by resolution of OOCL’s appeal; and (D) OOCL failed to make out a case of hardship or inequity.

A. A Stay is Unnecessary Because OOCL's Counterclaim is Frivolous

OOCL's counterclaim alleges that SEA's challenge of OOCL's demurrage and detention policies in the context of a store-door transportation agreement through a complaint to the Commission violated 46 U.S.C. § 41102(a), even though SEA's complaint withstood an earlier motion to dismiss and was held to state facially valid claims of unreasonable practices under 46 U.S.C. § 41102(c), noncompliant invoices under 46 U.S.C. § 41104(a)(15), unreasonable charges under 46 U.S.C. § 41104(a)(14), and unreasonable practices with respect to dispute resolution under 46 U.S.C. § 41102(c) (Doc. 16).

As the Presiding Officer held, "[t]here is simply no way, as a matter of law, that a facially legitimate dispute before the Commission can result in a complainant obtaining ocean transportation at less than applicable rates for purposes of § 41102(a)" (Doc. 38). Accordingly, the Presiding Officer dismissed the counterclaim with prejudice, finding that leave to amend could not render OOCL's counterclaim facially plausible. The Presiding Officer's logic appears inescapable – indeed, as the Presiding Officer noted, OOCL failed to cite any authority for the "unlikely proposition" set forth in its counterclaim. OOCL's counterclaim is patently and obviously frivolous; and therefore its appeal of the dismissal of the counterclaim is likewise frivolous.

B. OOCL's Proposed Stay Would Unreasonably Delay the Proceedings and Prejudice SEA

While the Commission Rules permit any party to appeal the granting of a motion for dismissal, OOCL's pursuit of its frivolous appeal serves only to further unreasonably delay the proceedings.

Notably, the duration of the stay requested by OOCL is indefinite. In its Memorandum of Law in Support of Respondents' Motion to Stay Proceedings, OOCL requests a stay until

Respondents’ “Appeal” and SEC’s Motion to Dismiss has been decided. Although OOCL filed its Exception to the March 31, 2025 Order with the Commission, the extent to which OOCL intends to pursue its frivolous claim is unclear. The appeal contemplated by OOCL encompasses not only a determination by the Commission, but likely further judicial review – a process that could reasonably be expected to take years.

The Commission has a duty to pursue allegations of Shipping Act violations. *VerTerra*, 2020 WL 1150930, at *2, *5. SEA was compelled to pay over \$13 million in unlawful demurrage, detention and associated charges on OOCL container moves notwithstanding that it was the consignee of goods that OOCL contracted to deliver on store-door terms. This proceeding seeks the recovery of those wrongfully-charged payments. After the years-long process to arrive at this point, SEA is entitled to the prompt and just resolution of its claims and reparations for the unjust and unreasonable demurrage and detention fees to which it was subjected.

The stay requested by OOCL would further unreasonably delay proceedings. SEA’s Response to OOCL’s Exception is due on May 8, 2025, after which the Commission may issue its ruling several months thereafter. Assuming that the Commission declines OOCL’s urging that it find that the lawful pursuit of facially valid complaint proceedings under the Commission’s Rules to somehow be an “unfair device or means [to] obtain ocean transportation [at less than the otherwise applicable rates]” in violation of the Shipping Act, then OOCL might seek an equally meritless judicial review of the issue. That would extend this matter for a further year or more before the parties can finally begin to address the real issue presented in this case: whether it is an unreasonable practice under the Shipping Act to shift liability for demurrage and

detention charges to the consignee of shipments carried on store-door terms solely on the basis that a preferred or customer nominated trucker was utilized.

The prejudice to SEA is obvious. As an initial matter, such a delay would deny SEA the recovery of its damages for potentially years more. Likewise, the further delay of the Proceeding would impose further prejudice to SEA as the party that bears the ultimate burden of persuasion in the case-in-chief. As with the impact of a delay in any proceeding, a delay increases the risk of the unavailability of witnesses, the loss or inaccessibility of documentary evidence, the risk of market complications and distractions, the potential impact of developments on defendants' resources to address a judgment, and the ongoing and accruing costs of litigation.

In considering whether a stay of discovery pending the outcome of a motion is warranted, a case-by-case analysis is required, since such an inquiry is necessarily fact-specific and depends on the particular circumstances and posture of each case. *Hachette Distrib., Inc. v. Hudson Cnty. News Co.*, 136 F.R.D. 356, 358 (E.D.N.Y. 1991). When the analysis is that such a stay would "impede the just and speedy administration of the progress of [the] lawsuit" and where even if the motion is granted, it would not result in the termination of the action, a stay of discovery is not warranted. *Id.* at 358-359.

C. OOCL's Exception Will Not Affect The Discovery Schedule or Scope

SEA acknowledges that the filing of OOCL's Exception renders the March 31, 2025 Order Dismissing OOCL's Counterclaim "inoperative" under 46 C.F.R. § 502.277(a)(5). However, even if OOCL's counterclaim were not frivolous and regardless of whether OOCL's counterclaim is dismissed or permitted to remain, the counterclaim would not substantively affect the expected topics for discovery between the parties or impact any resulting proposed discovery schedule. Thus, it would not be an inefficient use of the parties' time or resources for the litigation to proceed.

OOCL's Counterclaim is merely its answer to the Complaint repackaged as an allegation that legal challenges to its practice of demanding demurrage and detention from the consignee of a store-door shipment for delayed deliveries, is unlawful. Thus, the expected topics of discovery would not expand or contract whether OOCL's counterclaim is ultimately dismissed or not. As noted above, the key issue in this matter is whether the store-door terms to which OOCL agreed could be converted to container-yard terms by the consignee's exercise of the contractual right to nominate a trucker. Accordingly, there is no reason to stay discovery pending the appeal. *See Wrenn v. Dist. of Columbia*, 179 F. Supp. 3d 135, 139-141 (D.D.C. 2016) (finding that the movant for the stay of discovery had not met their burden as their argument regarding the impact on time and resources did not justify a pause in the litigation).

D. OOCL Has Not Made Its Case of Hardship

OOCL, as movant for the stay of the proceedings, must first "make out a clear case of hardship or inequity in being required to go forward, if there is even a fair possibility that the stay for which he prays will work damage to someone else." *Exclusive Tug Arrangements*, Dkt. No. 02-03, 2002 WL 31556298, at *2 (FMC, Nov. 15, 2002) (citing 46 C.F.R. § 502.201(f) (quoting *Landis*, 299 U.S. at 254-255)). No such showing has been made here by OOCL.

OOCL argues that moving forward with discovery while its counterclaim issue is reviewed by the Commission is "not an efficient use of the parties' time or resources." SEA disagrees. The fact is that the contemplated topics for discovery would be no different if the counterclaim were sustained than they would be if OOCL just answered the Amended Complaint. The litigation would not terminate, and the parties would still seek discovery on the same topics. Moving forward with discovery concurrently with OOCL's pursuit of the reinstatement of its counterclaim would actually be the most efficient use of the parties' time and resources, as it would enable the

parties to sort out discovery matters and move the litigation forward while OOCL's counterclaim is being considered in other venues.

II. SEA Would Not Oppose a Stay Until SEC's Motion to Dismiss is Decided

A. SEC's Status in this Litigation Has Not Yet Been Determined

SEA recognizes that the Presiding Officer has not yet issued a determination of the status of third-party respondent SEC. On December 12, 2024, OOCL submitted a Third-Party Complaint against SEC concurrently with its Answer and Counterclaim in response to SEA's Amended Complaint.¹ OOCL's Third-Party Complaint against SEC is virtually identical to its counterclaim against SEA, with both alleging violations of 46 U.S.C. § 41102(a) on the basis of SEA bringing its complaint about OOCL's demurrage and detention charges to the Commission.

On January 9, 2025, SEC filed a special appearance in order to file a Motion to Dismiss the Complaint on the grounds that it had not been properly served. On January 17, 2025 the Office of the Secretary advised that the Complaint had been returned as non-deliverable or not accepted for delivery on January 14, 2025. On January 29, 2025, SEC filed its Motion to Dismiss OOCL's Complaint on insufficiency of service of process grounds.

On January 27, 2025, OOCL requested the Office of the Secretary attempt service on SEC at a different address, which the Office of the Secretary confirmed had been attempted on January 29, 2025. On February 19, 2025, the Office of the Secretary advised that the attempted service on the revised address had been returned as undeliverable or not accepted for delivery on February 13, 2025.

SEC's Motion to Dismiss is clear that the service of process was – and still remains – insufficient in accordance with mandatory US law concerning the service of process on parties in

¹ OOCL's Third-Party Complaint was deemed filed on December 17, 2024.

foreign jurisdictions. As reflected in the Commission's January 17 and February 19, 2025 letters, the third-party complaint was returned to the Office of the Secretary as undeliverable or not accepted for delivery.

OOCL requested additional time to properly serve SEC in accordance with the Hauge Convention in the event SEC's Motion to Dismiss is granted (Doc. 33; pg. 2) but has remained silent on whether it is currently taking such action. In the absence of information to the contrary, it is reasonable to assume that OOCL has not proceeded with the filing of its third-party complaint in accordance with the Hauge Convention in the interim because it intends to draw out the length of the proceedings and push off the pending litigation for as long as possible, resulting in mounting harm to SEA.

While it would be reasonable for OOCL to recognize that since its complaint against SEC is virtually identical to its counterclaim against SEA, its third-party complaint against SEC is subject to dismissal for the same reasons that the counterclaim against SEA was dismissed, as of this date, OOCL has yet to drop its futile effort to involve SEC in this proceeding. Therefore, whether SEC will be ultimately served, and if served, whether SEC will be dismissed for the same reasons the counterclaim was dismissed, remains to be seen.

B. SEA Recognizes that a Ruling on SEC's Status Could Impact a Proposed Discovery Schedule

SEC's motion to dismiss the third-party complaint has been fully briefed since February 13, 2025 and the motion is currently pending before the Presiding Officer. While a ruling may be expected in short order on SEC's Motion to Dismiss the Complaint, SEA recognizes that the establishment of a discovery schedule in advance of that ruling could be premature, as a proposed discovery schedule may be affected by the ruling.

Specifically, SEA recognizes that a single round of discovery, involving all involved presumptively involved parties, may be most efficient. Thus, in the unlikely event that the Presiding Officer finds that SEC was properly served and is properly before it in this matter, then a single discovery schedule may be set. On the other hand, if the Presiding Officer finds that SEC has not been properly served or is otherwise not properly in this matter, then SEA and OOCL may proceed to discovery with the reasonable expectation that discovery will not be extended by the late joinder of SEC.

Thus, while SEA could agree to a stay pending the ruling on SEC's Motion to Dismiss, there are not sufficient benefits to the consecutive, as opposed to concurrent approach to the proceedings with respect to OOCL's counterclaim and its appeal, to support the stay as fully requested by OOCL. *VerTerra*, 2020 WL 1150930, at *5.

While SEA remains steadfast in pursuing its claims and pushing this matter forward as quickly and efficiently as possible, it will agree to reasonable delays when necessary and in the interests of reasonable comity (*see* Doc. 7 – Consent Motion for Extension of Time [Apr. 3, 2024]; Doc. 11 – Joint Motion for Extension of Time [May 20, 2024]).

Accordingly, SEA agrees to a stay of the proceedings, pending a ruling on SEC's Motion to Dismiss the Complaint. Following that ruling however, SEA proposes that the parties meet and confer to establish a proposed discovery schedule.

CONCLUSION

In summary, Complainant SEA opposes any stay of the proceedings in connection with the status of OOCL's counterclaim against SEA as any such ruling would not materially affect discovery matters, and would harm SEA by unnecessarily delaying the proceedings for an indefinite period. However, SEA would agree to a stay of the proceedings pending a ruling on

SEC's Motion to Dismiss the Complaint, following which the parties should meet and confer to establish a proposed discovery schedule.

Accordingly, SEA respectfully requests that the Presiding Officer issue an Order for Stay reflecting the foregoing, and grant all such other and further relief as may be just and proper.

Dated: April 23, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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